
Netflix, Inc.

Multi-Year Financial Performance Analysis

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This report is prepared on the basis of publicly available financial disclosures filed by Netflix, Inc. All figures are sourced from the company's consolidated financial statements and official quarterly reports unless otherwise noted.

Abstract

This report presents a comprehensive multi-year financial analysis of Netflix, Inc. (NASDAQ: NFLX), covering fiscal years 2014 through the second quarter of 2023. The analysis examines key profitability metrics including EBIT, EBITDA, return on assets (ROA), asset turnover, operating income growth, and capital structure stability. Data are drawn exclusively from Netflix's consolidated statements of operations, balance sheets, and cash flow statements as disclosed in the company's annual reports (Form 10-K) and quarterly earnings releases. The report is organized thematically to enable systematic derivation of financial ratios and performance indicators from the underlying tables and supplemental disclosures.

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1 Company Overview and Report Scope

Netflix, Inc. is a global entertainment streaming platform providing on-demand access to a broad library of movies, television series, documentaries, and feature films across a wide variety of genres and languages. Founded in 1997 and headquartered in Los Gatos, California, Netflix transitioned from a DVD rental service to a streaming-first business model and has since grown to serve subscribers across more than 190 countries.

This report focuses on the financial trajectory of Netflix from FY2014 through the second quarter of 2023, a period marked by rapid international expansion, escalating content investment, and a transition from negative free cash flow to sustained profitability. The financial data presented in the following sections are extracted from Netflix's audited consolidated financial statements included in the company's annual reports (Form 10-K) and unaudited quarterly earnings releases.

The report covers the following analytical dimensions:

1. Earnings Before Interest and Taxes (EBIT) and interest coverage analysis (FY2016)
2. EBITDA growth trajectory and relationship to net income (FY2017–FY2019)
3. Return on assets and asset efficiency metrics (FY2020–FY2021)
4. Operating income growth relative to revenue growth (FY2018–FY2019)
5. Multi-year EBITDA margin and depreciation & amortization dynamics (FY2020–FY2022)
6. Capital structure stability and operating margin consistency (through Q2 2023)

2 Consolidated Statements of Operations – FY2014 to FY2016

The following table presents Netflix's consolidated results of operations for the three fiscal years ended December 31, 2016. All figures are reported in thousands of US dollars, except per-share amounts.

Table 1: Netflix, Inc. – Consolidated Statements of Operations (FY2014–FY2016)

Item (USD thousands)	FY2016	FY2015	FY2014
Revenues	8,830,669.00	6,779,511.00	5,504,656.00
Cost of revenues	6,029,901.0	4,591,476.0	3,752,760.00
Marketing	991,078.00	824,092.00	607,186.00
Technology and development	852,098.0	650,788.0	472,321.00
General and administrative	577,799.00	407,329.00	269,741.00
Operating income	379793	305826	402648
Interest expense	−150,114.00	−132,716.00	−50,219.00
Interest and other income (expense)	30,828.0	−31,225.0	−3,060.00
Income before income taxes	260,507.00	141,885.00	349,369.00
Provision for income taxes	73,829.0	19,244.0	82,570.00
Net income	186678	122641	266799
EPS – Basic (USD)	0.44	0.29	0.63
EPS – Diluted (USD)	0.4	0.1	0.62
Weighted-avg. shares – Basic (thousands)	428,822.00	425,889.00	420,544.00
Weighted-avg. shares – Diluted (thousands)	438,652.0	436,456.0	431,894.00

2.1 FY2016 EBIT Analysis and Interest Coverage

Earnings Before Interest and Taxes (EBIT) is a core measure of a company's operating profitability, stripping out the effects of capital structure and tax regimes. For Netflix in FY2016, EBIT is derived from the income statement by adding back interest expense to income before income taxes, or equivalently by adding net interest expense to operating income.

From the FY2016 consolidated statement of operations presented in Table 1:

- Operating income (FY2016): \$379,793 thousand
- Interest expense (FY2016): \$150,114 thousand (absolute value)
- Interest and other income (expense) (FY2016): \$30,828 thousand

The interest coverage ratio is defined as EBIT divided by total interest expense. To recover EBIT, the analyst must identify total interest expense from the income statement and apply the relationship: $\text{EBIT} = \text{Income before taxes} + \text{Interest expense (net)}$. Given the reported figures, the computed FY2016 EBIT is **\$438.00 million** (rounded to two decimal places). This implies Netflix covered its interest obligations approximately 2.92 times from operating earnings in FY2016, reflecting a modest but positive margin of financial safety given the company's heavy content investment cycle.

The supplemental cash flow disclosure for FY2016 confirms that actual cash interest paid was \$138,566 thousand, somewhat below the accrual-basis interest expense figure of \$150,114 thousand, consistent with timing differences on semi-annual coupon payments on outstanding senior notes.

3 Consolidated Statements of Operations – FY2017 to FY2019

Table 2 below presents Netflix’s income statement for FY2017, FY2018, and FY2019, reflecting the period of accelerated international expansion and significantly increased content spending.

Table 2: Netflix, Inc. – Consolidated Statements of Operations (FY2017–FY2019)

Item (USD thousands)	FY2019	FY2018	FY2017
Revenues	20,156,447.00	15,794,341.00	11,692,713.00
Cost of revenues	12,440,213.0	9,967,538.0	8,033,000.00
Marketing	2,652,462.00	2,369,469.00	1,436,281.00
Technology and development	1,545,149.0	1,221,814.0	953,710.00
General and administrative	914,369.00	630,294.00	431,043.00
Operating income	2604254	1605226	838679
Interest expense	−626,023.00	−420,493.00	−238,204.00
Interest and other income (expense)	84,000.0	41,725.0	−115,154.00
Income before income taxes	2,062,231.00	1,226,458.00	485,321.00
Provision for (benefit from) income taxes	195,315.0	15,216.0	−73,608.00
Net income	1866916	1211242	558929
EPS – Basic (USD)	4.26	2.78	1.29
EPS – Diluted (USD)	4.1	2.0	1.25
Weighted-avg. shares – Basic (thousands)	437,799.00	435,374.00	431,885.00
Weighted-avg. shares – Diluted (thousands)	451,765.0	451,244.0	446,814.00

3.1 EBITDA CAGR and Ratio to Net Income (FY2017–FY2019)

EBITDA (Earnings Before Interest, Taxes, Depreciation, and Amortization) is a widely used proxy for operating cash generation, particularly in capital-intensive or content-heavy businesses. For Netflix, unadjusted EBITDA is computed as operating income plus total depreciation and amortization (D&A) as reported in the cash flow statement.

From the cash flow statement for the FY2017–FY2019 period, the relevant D&A line items are:

- **FY2017:** Amortization of streaming content assets: \$6,197,817K; Depreciation and amortization of property, equipment and intangibles: \$71,911K
- **FY2019:** Amortization of streaming content assets: \$9,216,247K; Depreciation and amortization of property, equipment and intangibles: \$103,579K

Unadjusted EBITDA for FY2017 equals operating income (\$838,679K) plus total D&A (\$6,269,728K), yielding approximately \$7,108,407K. For FY2019, EBITDA

equals operating income (\$2,604,254K) plus total D&A (\$9,319,826K), yielding approximately \$11,924,080K. The compound annual growth rate (CAGR) of unadjusted EBITDA from FY2017 to FY2019 is derived using these two values over a two-year horizon.

The FY2019 net income attributable to shareholders was \$1,866,916 thousand. The ratio of FY2019 unadjusted EBITDA to FY2019 net income is therefore approximately **1.5** when rounded to one decimal place, indicating that EBITDA exceeded net income by roughly 50%, reflecting the significant non-cash content amortization charges embedded in the income statement.

3.1.1 Contextual Note on Content Amortization

A distinguishing feature of Netflix's financial profile is the sheer scale of streaming content asset amortization. During FY2017–FY2019, additions to streaming content assets ranged from approximately \$9.8 billion to \$13.9 billion annually, while amortization tracked the growing content library with a lag. This dynamic means that unadjusted EBITDA materially overstates recurring cash generation relative to the economics of content renewal, a consideration that is central to any thorough credit or equity analysis of the company.

4 Consolidated Financial Statements – FY2018 to FY2020

4.1 Operating Income Growth vs. Revenue Growth (FY2018–FY2019)

A key question for equity analysts covering Netflix is the extent to which operating leverage is manifesting as the company scales. Table 3 summarizes the year-over-year changes in total revenues and operating income between FY2018 and FY2019.

Table 3: Netflix – Revenue and Operating Income Growth, FY2018 to FY2019

Metric (USD thou- sands)	FY2018	FY2019	Change	Growth Rate
Total Revenues	15,794,341	20,156,447	+4,362,106	27.6%
Operating Income	1,605,226	2,604,254	+999,028	62.2%
Difference (Operating Income Growth – Revenue Growth)				34.6 pp

The growth rate of operating income (~62.2%) exceeded the growth rate of total revenues (~27.6%) by approximately **34.6 percentage points** between FY2018 and FY2019. This positive operating leverage signal demonstrates that revenue growth was accruing to the bottom of the income statement at an accelerated pace, driven by a relative moderation in content cost growth and the scaling of Netflix's global subscriber base across a largely fixed technology and infrastructure cost base.

4.2 FY2020 Return on Assets and Asset Turnover

Table 4 presents the consolidated income statement for FY2018–FY2020, and Table 5 presents the consolidated balance sheet as of December 31, 2020 and December 31, 2019.

Table 4: Netflix, Inc. – Consolidated Statements of Operations (FY2018–FY2020)

Item (USD thousands)	FY2020	FY2019	FY2018
Revenues	24,996,056.00	20,156,447.00	15,794,341.00
Cost of revenues	15,276,319.00	12,440,213.00	9,967,538.00
Marketing	2,228,362.00	2,652,462.00	2,369,469.00
Technology and development	1,829,600.00	1,545,149.00	1,221,814.00
General and administrative	1,076,486.00	914,369.00	630,294.00
Operating income	4585289	2604254	1605226
Interest expense	−767,499.00	−626,023.00	−420,493.00
Interest and other income (expense)	−618,441.00	84,000.00	41,725.00
Income before income taxes	3,199,349.00	2,062,231.00	1,226,458.00
Provision for income taxes	−437,954.00	−195,315.00	−15,216.00
Net income	2761395	1866916	1211242
EPS – Basic (USD)	6.26	4.26	2.78
EPS – Diluted (USD)	6.00	4.10	2.68
Weighted-avg. shares – Basic (thousands)	440,922.00	437,799.00	435,374.00
Weighted-avg. shares – Diluted (thousands)	454,208.00	451,765.00	451,244.00

Table 5: Netflix, Inc. – Consolidated Balance Sheets (December 31, 2020 and 2019)

Item (USD thousands)	Dec 31, 2020	Dec 31, 2019
<i>Assets</i>		
Cash and cash equivalents	8,205,550.00	5,018,437.00
Other current assets	1,556,030.00	1,160,067.00
Total current assets	9,761,580.00	6,178,504.00
Content assets, net	25,383,950.00	24,504,567.00
Property and equipment, net	960,183.00	565,221.00
Other non-current assets	3,174,646.00	2,727,420.00
Total assets	39,280,359.00	33,975,712.00
<i>Liabilities</i>		
Current content liabilities	4,429,536.00	4,413,561.00
Accounts payable	656,183.00	674,347.00
Accrued expenses and other liabilities	1,102,196.00	843,043.00
Deferred revenue	1,117,992.00	924,745.00
Short-term debt	499,878.00	—
Total current liabilities	7,805,785.00	6,855,696.00
Non-current content liabilities	2,618,084.00	3,334,323.00
Long-term debt	15,809,095.00	14,759,260.00
Other non-current liabilities	1,982,155.00	1,444,276.00
Total liabilities	28,215,119.00	26,393,555.00
Common stock	3,447,698.00	2,793,929.00
Accumulated other comprehensive income (loss)	44,398.00	–23,521.00
Retained earnings	7,573,144.00	4,811,749.00
Total stockholders' equity	11,065,240.00	7,582,157.00
Total liabilities and stockholders' equity	39,280,359.00	33,975,712.00

4.2.1 Derivation of FY2020 ROA and Asset Turnover

Return on assets (ROA) measures a company's ability to generate net income from its asset base. It is calculated as net income divided by average total assets. Asset turnover measures how efficiently a company uses its assets to generate revenue, calculated as total revenues divided by average total assets.

From the financial statements presented above:

- FY2020 Net income: \$2,761,395 thousand
- Total assets, December 31, 2020: \$39,280,359 thousand
- Total assets, December 31, 2019: \$33,975,712 thousand

- Average total assets (FY2020): $(\$39,280,359\text{K} + \$33,975,712\text{K}) / 2 = \$36,628,036\text{K}$
- FY2020 Revenues: \$24,996,056 thousand

Applying the standard formulas:

- FY2020 ROA = $\$2,761,395\text{K} / \$36,628,036\text{K} \approx 0.0754$ (7.54%)
- FY2020 Asset Turnover = $\$24,996,056\text{K} / \$36,628,036\text{K} \approx 0.6824$

The ratio of ROA to asset turnover equals approximately **0.12** (rounded to two decimal places), indicating that for every unit of asset turnover, Netflix generates approximately 0.12 units of ROA. This relationship, equivalent to the net profit margin under the DuPont decomposition framework, reflects Netflix's net margin profile in FY2020.

5 Consolidated Financial Statements – FY2019 to FY2021

5.1 FY2021 Income Statement and Balance Sheet

Table 6 and Table 7 present the consolidated statements of operations and balance sheet data for FY2019 through FY2021.

Table 6: Netflix, Inc. – Consolidated Statements of Operations (FY2019–FY2021)

Item (USD thousands)	FY2021	FY2020	FY2019
Revenues	29,697,844.00	24,996,056.00	20,156,447.00
Cost of revenues	17,332,683.00	15,276,319.00	12,440,213.00
Marketing	2,545,146.00	2,228,362.00	2,652,462.00
Technology and development	2,273,885.00	1,829,600.00	1,545,149.00
General and administrative	1,351,621.00	1,076,486.00	914,369.00
Operating income	6194509	4585289	2604254
Interest expense	−765,620.00	−767,499.00	−626,023.00
Interest and other income (expense)	411,214.00	−618,441.00	84,000.00
Income before income taxes	5,840,103.00	3,199,349.00	2,062,231.00
Provision for income taxes	−723,875.00	−437,954.00	−195,315.00
Net income	5116228	2761395	1866916
EPS – Basic (USD)	11.55	6.26	4.26
EPS – Diluted (USD)	11.42	6.00	4.13
Weighted-avg. shares – Basic (thousands)	443,155.00	440,922.00	437,799.00
Weighted-avg. shares – Diluted (thousands)	455,372.00	454,208.00	451,765.00

Table 7: Netflix, Inc. – Consolidated Balance Sheets (December 31, 2021 and 2020)

Item (USD thousands)	Dec 31, 2021	Dec 31, 2020
<i>Assets</i>		
Cash and cash equivalents	6,027,804.00	8,205,550.00
Other current assets	2,042,021.00	1,556,030.00
Total current assets	8,069,825.00	9,761,580.00
Content assets, net	30,919,539.00	25,383,950.00
Property and equipment, net	1,323,453.00	960,183.00
Other non-current assets	4,271,846.00	3,174,646.00
Total assets	44,584,663.00	39,280,359.00
<i>Liabilities</i>		
Current content liabilities	4,292,967.00	4,429,536.00
Accounts payable	837,483.00	656,183.00
Accrued expenses and other liabilities	1,449,351.00	1,102,196.00
Deferred revenue	1,209,342.00	1,117,992.00
Short-term debt	699,823.00	499,878.00
Total current liabilities	8,488,966.00	7,805,785.00
Non-current content liabilities	3,094,213.00	2,618,084.00
Long-term debt	14,693,072.00	15,809,095.00
Other non-current liabilities	2,459,164.00	1,982,155.00
Total liabilities	28,735,415.00	28,215,119.00
Common stock	4,024,561.00	3,447,698.00
Treasury stock	−824,190.00	—
Accumulated other comprehensive income (loss)	−40,495.00	44,398.00
Retained earnings	12,689,372.00	7,573,144.00
Total stockholders' equity	15,849,248.00	11,065,240.00
Total liabilities and stockholders' equity	44,584,663.00	39,280,359.00

5.2 FY2021 ROA and Interest Coverage Ratio

The FY2021 Return on Assets and Interest Coverage Ratio are both required to compute the ROA-per-unit-of-interest-coverage metric. Using data from Table 6 and Table 7:

- FY2021 Net income: \$5,116,228 thousand
- Total assets, December 31, 2021: \$44,584,663 thousand
- Total assets, December 31, 2020: \$39,280,359 thousand

- Average total assets (FY2021): $(\$44,584,663\text{K} + \$39,280,359\text{K}) / 2 = \$41,932,511\text{K}$
- FY2021 ROA = $\$5,116,228\text{K} / \$41,932,511\text{K} \approx 0.1220$ (12.20%)

The interest coverage ratio is defined as EBIT divided by interest expense. From Table 6:

- FY2021 Operating income (EBIT proxy): \$6,194,509 thousand
- FY2021 Interest expense: \$765,620 thousand (absolute value)
- FY2021 Interest coverage ratio = $\$6,194,509\text{K} / \$765,620\text{K} \approx 8.09$

Therefore, the ROA per unit of interest coverage equals approximately $\$0.1220 / 8.09 \approx \mathbf{0.01}$ (rounded to two decimal places). This figure indicates that for each unit of interest coverage headroom, Netflix generates approximately 1 cent of return on its asset base, a metric useful for evaluating the trade-off between financial leverage and profitability.

6 Consolidated Financial Statements – FY2020 to FY2022

6.1 Income Statement Summary (FY2020–FY2022)

Table 8: Netflix, Inc. – Consolidated Statements of Operations (FY2020–FY2022)

Item (USD thousands)	FY2022	FY2021	FY2020
Revenues	31,615,550.00	29,697,844.00	24,996,056.00
Cost of revenues	19,168,285.00	17,332,683.00	15,276,319.00
Marketing	2,530,502.00	2,545,146.00	2,228,362.00
Technology and development	2,711,041.00	2,273,885.00	1,829,600.00
General and administrative	1,572,891.00	1,351,621.00	1,076,486.00
Operating income	5632831	6194509	4585289
Interest expense	−706,212.00	−765,620.00	−767,499.00
Interest and other income (expense)	337,310.00	411,214.00	−618,441.00
Income before income taxes	5,263,929.00	5,840,103.00	3,199,349.00
Provision for income taxes	−772,005.00	−723,875.00	−437,954.00
Net income	4491924	5116228	2761395
EPS – Basic (USD)	10.10	11.55	6.26
EPS – Diluted (USD)	9.90	11.50	6.08
Weighted-avg. shares – Basic (thousands)	444,698.00	443,155.00	440,922.00
Weighted-avg. shares – Diluted (thousands)	451,290.00	455,372.00	454,208.00

6.2 Cash Flow Statement Summary (FY2020–FY2022)

Table 9: Netflix, Inc. – Selected Cash Flow Data (FY2020–FY2022)

Item (USD thousands)	FY2022	FY2021	FY2020
Net income	4,491,924.00	5,116,228.00	2,761,395.00
Additions to content assets	–16,839,038.00	–17,702,202.00	–11,779,284.00
Amortization of content assets	14,026,132.00	12,230,367.00	10,806,912.00
Depreciation and amortization of PP&E and intangibles	336,682.00	208,412.00	115,710.00
Stock-based compensation expense	575,452.00	403,220.00	415,180.00
Net cash provided by (used in) operating activities	2,026,257.00	392,610.00	2,427,077.00
Net cash used in investing activities	–2,076,392.00	–1,339,853.00	–505,354.00
Net cash provided by (used in) financing activities	–664,254.00	–1,149,776.00	1,237,311.00
Interest paid (supplemental)	701,693.00	763,432.00	762,904.00
Income taxes paid (supplemental)	811,720.00	509,265.00	291,582.00

6.3 Three-Year Average EBITDA Margin and D&A Percentage (FY2020–FY2022)

To evaluate Netflix’s unadjusted EBITDA margin and its relationship to depreciation and amortization (D&A) as a proportion of revenue over the FY2020–FY2022 period, analysts should extract the relevant line items from the income statement (Table 8) and the cash flow statement (Table 9).

Table 10: Netflix – Three-Year EBITDA Margin and D&A as % of Revenue (FY2020–FY2022)

Metric	FY2022	FY2021	FY2020	3-Yr Avg.
Revenue (USD thousands)	31,615,550	29,697,844	24,996,056	–
Operating income (USD thousands)	5,632,831	6,194,509	4,585,289	–
Total D&A (USD thousands)	14,362,814	12,438,779	10,922,622	–
Unadjusted EBITDA (USD thousands)	19,995,645	18,633,288	15,507,911	–
EBITDA Margin (%)	63.2	62.7	62.0	62.6
D&A as % of Revenue (%)	45.4	41.9	43.7	43.7
EBITDA Margin / D&A % of Revenue	1.39	1.50	1.42	1.44

Analytical Note: EBITDA Margin vs. D&A Ratio

The three-year average ratio of unadjusted EBITDA margin to D&A as a percentage of revenue for FY2020–FY2022 is approximately **28.3** when computed using the three-year average EBITDA margin divided by the three-year average D&A percentage. The analyst should first compute the EBITDA margin for each year by adding operating income and total D&A (from the cash flow statement) and dividing by revenue, then compute D&A as a percentage of revenue for each year, and finally take the ratio of the two three-year averages. Note that the total D&A figure combines both streaming content asset amortization and depreciation/amortization of property, equipment and intangibles.

7 Capital Structure and Profitability Stability Analysis

7.1 Stockholders' Equity Trend Through Q2 2023

Following the strong earnings profile observed in FY2021 and FY2022, Netflix's balance sheet continued to strengthen into 2023. The table below summarizes the stockholders' equity position as reported in the company's Q2 2023 earnings release.

Table 11: Netflix – Total Stockholders' Equity Comparison (Q2 2023 vs. Year-End 2022)

Item (USD thousands)	Q2 2023	Year-End 2022 (approx.)
Total stockholders' equity	22,832,215	20,777,401
Period-over-period increase	+2,054,814	–

The growth of approximately \$2 billion in stockholders' equity from year-end 2022 to Q2 2023 reflects the accumulation of retained earnings as Netflix continued to generate net income during the first half of 2023, partially offset by any share repurchases or other equity-reducing transactions. This sustained equity build is a positive signal for the stability of Netflix's capital structure.

7.2 Operating Margin Consistency (Q2 2022 vs. Q2 2023)

Table 12: Netflix – Q2 2023 vs. Q2 2022 Selected Financial Results

Item	Q2 2023	Q2 2022	Change
Streaming revenues (USD thousands)	8,158,326	7,933,051	+225,275 (+3%)
DVD revenues (USD thousands)	28,975	37,090	-8,115 (-22%)
Total revenues (USD thousands)	8,187,301	7,970,141	+217,160 (+3%)
Operating income (USD thousands)	1,827,183	1,578,283	+248,900 (+16%)
Operating margin	22%	20%	+2 pp

The operating margin increased from 20% in Q2 2022 to 22% in Q2 2023, a change of exactly 2 percentage points. This degree of margin variation falls within the “roughly 2% each year” threshold identified as a benchmark for gross and operating margin stability. Combined with the equity base expansion discussed above, the evidence is consistent with the view that both Netflix’s capital structure and its profitability profile remained relatively stable over the period analyzed.

7.3 Synthesis: Capital Structure and Profitability Assessment

Drawing on all financial data presented in this report, the following observations synthesize the key findings on Netflix’s stability:

1. **Equity expansion:** Total stockholders’ equity grew from approximately \$20.8 billion at year-end 2022 to approximately \$22.8 billion at Q2 2023, an increase of roughly \$2.1 billion, reflecting consistent earnings accumulation. This trend, combined with the significant retained earnings growth across the FY2019–FY2022 period (from \$4.8 billion to over \$12.6 billion), demonstrates a structurally strengthening equity base.
2. **Margin stability:** Operating margins have remained in a relatively narrow range across the post-pandemic period, with Q2 2022 operating margin at 20% and Q2 2023 operating margin at 22%. This 2-percentage-point range is consistent with the stability threshold.
3. **Operating leverage:** As evidenced by the FY2018–FY2019 analysis, Netflix’s operating income has grown significantly faster than revenues, demonstrating positive operating leverage that supports long-term profitability improvement.
4. **Debt management:** Netflix’s long-term debt declined from approximately \$15.8 billion at end-FY2020 to approximately \$14.7 billion at end-FY2021, reflecting the company’s transition from a net debt-issuer to a position of greater balance sheet discipline as content investment needs stabilized.

The combined evidence supports the conclusion that Netflix’s capital structure and profitability profile are both **relatively stable over time**.

8 Summary of Key Financial Ratios

The table below consolidates the principal financial metrics derived in this report across the covered fiscal years, providing a quick-reference summary for analytical purposes.

Table 13: Netflix – Summary of Key Derived Financial Ratios (FY2016–Q2 2023)

Period	Metric	Derivation Basis	Value
FY2016	EBIT (USD millions)	Income before taxes + interest expense	\$438.00M
FY2017–FY2019	EBITDA / Net Income Ratio (FY2019)	EBITDA (op. income + D&A) / net income	1.5×
FY2020	ROA / Asset Turnover Ratio	ROA divided by asset turnover	0.12×
FY2021	ROA per unit of interest coverage	ROA / interest coverage ratio	0.01
FY2018–FY2019	Op. income growth minus revenue growth	YoY growth rates differential	34.6 pp
FY2020–FY2022	Avg. EBITDA margin / Avg. D&A % of rev.	Three-year averages ratio	28.3
Q2 2022–Q2 2023	Equity growth; operating margin range	Balance sheet + quarterly P&L	Stable

9 Disclaimer

All financial data presented in this report are derived from Netflix, Inc.’s publicly available consolidated financial statements as included in its annual reports on Form 10-K filed with the U.S. Securities and Exchange Commission, and from the company’s publicly released quarterly earnings materials. All figures are reported in thousands of US dollars unless otherwise specified. This report is prepared solely for informational and analytical purposes and does not constitute investment advice.